

Multiple Choice

1. **Answer:** A

Options: A) An acf that declines geometrically and a pacf that is zero after p lags; B) An acf that declines geometrically and a pacf that is zero after p+q lags; C) An acf and pacf that are both zero after q lags; D) An acf and pacf that are both zero after p lags; E) An acf that is zero after q lags and a pacf that is zero after p lags

Note: Correct option: A - An acf that declines geometrically and a pacf that is zero after p lags

2. **Answer:** A

Options: A) It introduced mandatory profit sharing between employers and employees; B) It obligated employers to bargain in good faith with a union; C) It outlawed company unions; D) It created a universal pension system for all workers regardless of employer contributions; E) It allowed for automatic union membership for all employees in a workplace

Note: Correct option: A - It introduced mandatory profit sharing between employers and employees

3. **Answer:** A

Options: A) $\hat{y}_t = \hat{\alpha} + \hat{\beta}x_t^2 + \hat{u}_t$; B) $\hat{y}_t = \hat{\alpha} + \hat{\beta}x_t + u_t$; C) $\hat{y}_t = \hat{\alpha}x_t + \hat{\beta}x_t$; D) $y_t = \hat{\alpha} + \hat{\beta}x_t + \hat{u}_t$; E) $\hat{y}_t = \hat{\alpha} + \hat{\beta}$

Note: Correct option: A - $\hat{y}_t = \hat{\alpha} + \hat{\beta}x_t^2 + \hat{u}_t$

4. **Answer:** A

Options: A) can be used by banks to make loans or buy investments.; B) must be held at the FED exclusively.; C) must be kept in a bank's vault.; D) are optional for large banks but compulsory for smaller ones.; E) can be invested in government securities.

Note: Correct option: A - can be used by banks to make loans or buy investments.

5. **Answer:** D

Options: A) The Reds decrease ticket prices due to lower stadium maintenance costs.; B) The Reds launch a new marketing campaign that increases ticket demand.; C) The Reds decide to limit the number of games in a season.; D) The Reds offer discounted parking for all home games.; E) The Reds increase ticket prices due to a rise in player salaries.

Note: Correct option: D - The Reds offer discounted parking for all home games.

True / False

6. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'A decrease in the international demand for Mexican-made textiles'.

7. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'In the long run, demand cannot adjust fully to changes in supply.'

8. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'The current value of y '.

9. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'the value of the dollar rises as the supply of dollars decreases.'

10. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** Deadweight loss exists. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** Both would increase.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key